

original creditor. You have a much better negotiating position with the original creditor. Don't wait until the debt is turned over to a collection agency to discuss your concerns.

Inexperienced, Beth preferred to ignore the collection attempts. Except for one creditor, her landlord, she had no physical contact with the rest of her creditors. They could be ignored, and were.

The strategy worked for a while. Her voice mail was full of messages from collectors, but she learned to not let it bother her. By deleting messages as soon as she realized it was a creditor, she never had to listen to their demands. She got in the habit of never answering her phone and letting it automatically go into voice mail. Her friends were told to call and let it ring once and then call back so Beth would know it wasn't a collector calling.

One day when Beth went to her car, which she normally parked on the street, she couldn't find it. In a panic she called the police to report it stolen. To her amazement, she was told that it had been repossessed. "What?" she exclaimed. "How could they repossess my car without telling me?" The police said she should have been notified.

Beth looked to the large stack of mail that had accumulated on her kitchen table. She took a deep breath and started opening the envelopes. Several of the letters were from her car lender. The last letter told of their intent to repossess her car if she didn't contact them. Without opening the letter, Beth had no way to know that soon her car would no longer be in her possession. And now it wasn't!

If Beth would have opened her mail daily and actually read it, she could have prevented the repossession. Her first step, as soon as she began having trouble making the payments, should have been to contact the creditor. It is advisable to contact the creditor in writing prior to discussing the situation over the phone. The following is a sample letter she could have written:

